

I never plan talks. I went on and on about how the credit markets are ready to implode. There are about 200 people in the room. When I finished, there was dead silence. They really thought I had gone off the deep end.

What did you predict was going to happen?

I said there was going to be a total credit crunch, an equity market meltdown, and a flight to quality bonds.

Had you adjusted your portfolio to reflect these expectations?

No, it just dawned on me as I was giving the speech. I went back to the office and thought, *\$9 billion of stocks going into a credit crunch; I don't want any of this crap*. I got the fund manager into my office and said, "Look, August was not that great." The strategy was down about 5 percent in August. I continued, "Honestly, I don't believe in this anymore. There's going to be a credit crunch, and the stuff you've got is going to be absolutely toxic. Let's shut the strategy down."

Even though it was market neutral?

Yes, because I was afraid of a lack of liquidity.

Actually, August 2007 was the month when many statistical arbitrage and some market neutral funds got killed. A 5 percent loss for a market neutral fund that month is not really that extreme.

I have no appetite for losses. Our discretionary strategy's worst peak-to-trough drawdown in over 10 years was less than 5 percent, and this strategy lost approximately 5 percent in one month. One thing that brings my blood to a boiling point is when an absolute return guy starts talking about his return relative to anything. My response was, "You are not relative to anything, my friend. You can't be in the relative game just when it suits you and in the absolute game just when it suits you. You are in the absolute return game, and the fact that you use the word relative means that I don't want you anymore."

What made you so convinced of an impending credit crunch?

It was just the huge excess leverage in the system everywhere you looked, and when LIBOR jumped by 10 basis points, it was like seeing